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BUY NOW, PAY LATER: THE NEW BUZZWORD IN THE WORLD OF DIGITAL FINANCE AND E-COMMERCE

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ABSTRACT
In India, Buy Now Pay Later (BNPL) services or schemes have not only become popular recently but are also dominating headlines as the new 'buzzword' of digital finance. This study attempts to investigate the factors that influence the consumers in the Kannur District of Kerala to make transactions and purchase products by making use of this mode of payment. This study also deals with the customer's perception towards the BNPL schemes and services. Data for the study were collected primarily from the users of BNPL services and the collected data were analysed and interpreted with the help of statistical tools such as the Mann-Whitney U test, Kruskal-Wallis H test, etc. The results of the analysis show that that there exists no significant difference between males and females in their perception towards the BNPL mechanism. It also revealed that different income groups have no difference in their perception level. The study also tried to understand the spending patterns of BNPL users and found there is no association between income of the customers and their spending pattern.

Keywords: Buy Now-Pay Later, BNPL, FinTech, EMIs, Consumer Credit

1. INTRODUCTION

Buy now, pay later (BNPL) has become a hot topic in the financial world and it were in usage in western countries for the past few years. According to Worldpay, Inc. BNPL is the fastest-growing e-commerce payment method and is projected to triple its market share in North America by 2023. According to Marketing Week, a recent Thisismoney.co.uk survey found nearly one in five consumers say that they wouldn't shop with a retailer who didn't offer some sort of BNPL scheme. In India too, the BNPL has become the latest trend in consumer financing as well as an instant hit.

As the name suggests, BNPL schemes allow consumers to buy a product or use a service and make payments later at the end of a stipulated time period. A BNPL service or scheme allows a customer to buy products from its partner merchants online or offline and pay back its price within a pre-determined time period of say 15-30 days. In short, the BNPL facility allows consumers to buy an item and pay later in interest-free instalments. BNPL schemes are growing fast across the country since customers find such schemes not only interesting and convenient but also they find such services affordable.

Several FinTech companies, as well as e-commerce sites, are offering BNPL schemes as a mode of payment in various online transactions as well as offline purchases. Recently, even India Post has come up with an idea, Book Now, Pay Later. Reliance JIO, the largest telecom company in India, introduced "Recharge Now, Pay Later facility", an Emergency Data Loan facility that allows users to purchase a data pack and pay for it later. MakeMyTrip, one of the popular online travel companies in India, has been offering a scheme named "Travel Now, Pay Later" to selected customers whereby a customer can book a hotel or tickets by just paying a small amount and the remaining balance can be paid later in instalments. All these show the ever-increasing popularity of BNPL schemes. In fact, such schemes are becoming popular among the customers belonging to the millennials and Generation Z categories. Some of the companies offering BNPL services include PayTM (PostPaid), Flipkart (PayLater), Amazon (Amazon Pay), LazyPay, Simpl, Slice, MobiKwik (Zip). BNPL service providers typically target millennials who do not have credit cards. Some of these services even offer a micro-credit limit from Rs 100 to Rs 50,000 depending on the customer's credit profile.

2. REVIEW OF LITERATURE

Madiha Khan and Shejuti Haque (2020) conducted a study to identify the factors that influence the consumers in Dhaka city to make transactions and purchase products using BNPL mechanism. They found out that education, increase in the demand for luxury goods and improvement in the standard of living availing this payment mode have a significant impact on increasing the value of yearly purchase of products through buy now-pay later mechanism. This increase in the expenditure also revealed the impulsive purchase decision of the consumers.

Bernadette Kamleitner and Berna Erki (2013) conducted a study on Payment method and perceptions of ownership. They proposed that payment method also influences how consumers feel about the acquired good. They proposed that cash payment results in stronger psychological ownership. And the study showed that cash payers report higher levels of immediate psychological ownership than credit payers. And it should be noted that the Asian students under study did not exhibited this effect. It also found that those paying in cash experience no further increase in psychological ownership over time, those paying by card do.

Colin B. Gabler and Kristy E. Reynolds (2013) conducted a study on the effects of scarcity and discounts on purchase decisions in respect to buy now or buy later situations. studies. They first implemented a market scenario to demonstrate that scarcity creates emotional value that increases purchase likelihood. Then they determined the levels of scarcity and discount that maximize purchase in a department store context. The findings suggest that the level of discount predicts the purchase of highly visible products; for less visible products, scarcity drives the decision.

Promothesh Chatterjee and Randall L. Rose (2012) conducted a study to know either the payment mechanisms change the way consumers perceive products. They argued that consumers for whom credit cards have been primed focus more on benefits (costs) when evaluating a product. They suggested that the effects of credit card stimuli go beyond increasing consumers' spending power and shifting consumption from the future to the present.

Keith Wilcox, Lauren G. Block and Eric M. Eisenstein (2011) examined how credit card debt affects consumer spending. In five experimental and field studies, the authors demonstrate that outstanding credit card debt increases spending for consumers with high self-control. They also show that this effect can be eliminated by increasing the available credit on the credit card. Thus, when the available credit is low, consumers with greater self-control increase spending, but when the available credit is high, they reduce spending.

Marsha L. Richins (2011) conducted a qualitative research to understand how the materialism, transformation expectation, and spending impacted the credit use. The author found that transformation expectations fully mediate the relationship between materialism and credit overuse. Evidence supports the idea that materialism leads simultaneously to a more favourable attitude toward debt and a stronger belief that life transformations will occur as a result of acquisition, and these two forces work together to increase credit overuse.

Richard A. Feinberg (1986) had tested the hypothesis that stimuli associated with spending can elicit spending responses. Four experiments and one study were conducted to test the stated hypothesis. The author found that Credit card stimuli directed spending. The author also identified that probability, speed, or magnitude of spending was enhanced in the presence of credit card cues. And it clearly admits the fact that the "buy now, pay later" philosophy has affected the American way of life.

3. STATEMENT OF THE PROBLEM

Buy Now, Pay Later services are becoming more and more popular as an alternative of credit cards, which everyone couldn't afford. On one side, e-commerce giants like Amazon and Flipkart are offering credit facilities to their consumers in the form of their own exclusive Shop Now, Pay Later credit limit, various Fintech companies are coming with their own mobile-based apps bundled with credit limit and offers like cashback, discounts, etc. This study attempts to find out the reasons behind the growing popularity of the BNPL schemes and services by investigating the factors influencing or motivating consumers to use buy now- pay later mode of payment. This study also deals with customers' perceptions towards BNPL schemes and services.

4. OBJECTIVES

1. To understand consumer's perception towards BNPL schemes
2. To identify the factors influencing BNPL schemes usage by the consumers
3. To analyse the most preferred BNPL service provider as well as to understand the spending pattern of consumers.

5. HYPOTHESES

1. There is no significant difference between males and females in their perception about BNPL scheme.
2. Different income groups have different levels of perception towards BNPL scheme.
3. There is no association between the income of the respondents and their spending pattern.

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6. SIGNIFICANCE OF THE STUDY

This is the era of innovation and we can witness this innovation in every walk of our life today. BNPL schemes are no such an exception. BNPL schemes have certain sole advantages compared to other modes of payments and hence such schemes are becoming a popular mode of digital payment and have the potential to replace credit cards in nearby future. In fact, BNPL schemes can be termed as a Mini-EMI (Equated Monthly Instalments) plan. More and more e-commerce companies are partnering with various banks and FinTech companies for promoting such modes of payments. Also, more FinTech companies are entering into this market space and they are competing to attract more customers by providing add-on services like enhanced credit limit, more partner sites or companies, both online and offline applicability, referral bonus points, etc. Also, there are only a few studies conducted till date regarding BNPL services.

7. RESEARCH METHODOLOGY

The study mainly used primary data collected from 100 respondents using the convenience sampling technique with the help of a structured questionnaire. Data were collected from the users of BNPL schemes and services. The respondents belonged to the Kannur District of Kerala. The collected data were analysed and interpreted with the help of statistical tools such as the Mann-Whitney U test, Kruskal-Wallis H test, etc.

The Secondary data is used to evaluate the previous studies and recent updates done in this field. Using different statistical tools, the collected data is categorized and analysed.

8. ANALYSIS AND INTERPRETATION

Among the 100 respondents from whom the data for the study is collected, most of the respondents (54) are males and the remaining 46 samples constituted the female population under study. Out of these100 respondents, 36 respondents belonged to the 'above 30' age category, 34 belonged to the 'below 25' age category, and 30 belonged to the '25-30' age category. Among these 100 BNPL users, 46 respondents were graduates and 38 were post-graduates and the remaining 16 users have only high school education. 42 respondents had a monthly income of Rs. 20000 and above. The monthly income of 31 respondents was between Rs.15000 and Rs. 20000 while 27 respondents belonged to the 'below Rs.15000' income category. 38 respondents were self-employed or were entrepreneurs, while 37 were employed either in the private or in the public sector. The remaining 25 respondents were students.

Among the 100 respondents, the majority of the respondents (91) had an opinion that the BNPL payment option offers more convenience than the debit and credit cards and they had a belief that such methods may replace or have the potential to replace the credit cards in the nearby future. Most of the respondents (77) were of the opinion that BNPL schemes or payment options often resulted in impulsive purchases. The majority of the respondents (88) either strongly agreed or agreed that BNPL schemes provide them more purchasing power and were of the opinion that they relied on BNPL schemes more during the post covid period than the pre-covid period.

Out of the 100 respondents, 45 respondents have made a late payment and thus had incurred a late fee under BNPL payment mode. The majority of the respondents (88) have either strongly agreed or agreed that BNPL service providers need to provide higher credit limits and they are of the opinion that BNPL service providers also need to increase the repayment tenure. Only a few respondents (23) were concerned about the data and security while opting for the BNPL mode of payment. Among 100 respondents, 41 respondents had a regret feeling after purchasing things via their available credit limit through the BNPL mechanism.

8.1 Testing of hypothesis, No: 1

H0: There is no significant difference between males and females in their perception about BNPL Scheme.

Table 1: Mann-Whitney U test for equality of means of perception about BNPL Scheme

Test Statistics	
	Mean Score
Mann-Whitney U	1026.000
Wilcoxon W	2566.00
Z	-1.472
Asymp. Sig. (2-tailed)	.141

Table 1 shows that the significance value of Mann-Whitney is 0.141>0.05. Therefore, the hypothesis that there is no significant difference between males and females in their perception about BNPL Scheme is accepted.

8.2 Testing of hypothesis, No: 2

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H0: Different income groups have different levels of perception about BNPL Scheme.

Table 2:

Test statistic of Kruskal-Wallis H

Test Statistics Mean Score	
Kruskal-Wallis H	2.897
df	2
Asymp. Sig.	.235

The test shows that the significance value of Kruskal-Wallis H is 0.235>0.05. Therefore, the hypothesis that different income groups have different levels of perception about BNPL Scheme is accepted (Table 2).

8.3 Testing of hypothesis, No: 3

H0: There is no association between the income of the respondents and their spending pattern.

Table 3:

Test statistic of Kruskal-Wallis H

Test Statistics Mean Score	
Kruskal-Wallis H	1.800
df	2
Asymp. Sig.	.407

According to Table 3, the test shows that the significance value of Kruskal-Wallis H is 0.407>0.05. Therefore, the hypothesis that there is no association between income of the respondents and their spending pattern is accepted.

Table 4: Preference of BNPL Schemes / BNPL Service Providers

BNPL Scheme/Service Provider	**Weighted Rank Total**	**Rank**
Flipkart PayLater	730	1
Paytm PostPaid	500	2
LazyPay	435	3
Amazon PayLater	384	4
MobiKwik Zip	323	5
Simpl	219	6
Freecharge Pay Later	209	7

Source: Primary Data

Table 5: Factors Influencing BNPL Usage

Factors Influencing BNPL Usage	**Weighted Rank Total**	**Rank**
Less formalities	425	1
One-click payments	315	2
Quick refunds	311	3
Zero processing fee / No hidden charges	296	4
Wide range of partner sites	153	5

Source: Primary Data

Table 6:Spending Pattern of BNPL Users

Spending Pattern	**Weighted Rank Total**	**Rank**
Electronics / Accessories	407	1
Clothing and fashion items	315	2
Books / Recharges / Movie tickets	308	3
Food	270	4
Household essentials	200	5

Source: Primary Data

By analysing Table 4, it can be clearly understood that most of the customers preferred Flipkart's PayLater facility in the first place. 'Paytm Postpaid', the BNPL scheme introduced by Paytm, was ranked next in the preference order. The LazyPay application which was owned and developed by the Fintech company PayU Finance India Private Limited was ranked third by the customers followed by Amazon's Pay Later service. From Table 4, it can be also interpreted that the customers least preferred BNPL schemes named 'ZIP' offered by the Fintech company 'MobiKwik', services provided by Fintech company named 'Simpl' and by 'Freecharge', a wholly-owned subsidiary of Axis Bank Limited.

Table 5 analyses the factors influencing the BNPL usage by the customers and it's clear that most of them use such schemes and services since there are only a few formalities to be completed by the users in order to get a credit limit. Eligible customers or users can get a credit limit with minimal documentation and this process is 100% online and paperless. The users need to enter their PAN number and Aadhaar number and with OTP based e-KYC process they can complete the documentation process with ease. One-Tap check-out process offered by the BNPL applications was the next factor that influences the customers to go for it. BNPL users also get instant refunds after cancellation of an order or due to failed transactions. They need not wait for 5-7 working days to get the refund amount in their account as in the case of payment by a debit card or net banking. Almost every BNPL service provider offers a credit limit without any additional charge or fees and this feature constitutes another motivating factor for the usage of BNPL service by the customers. Also, customers can avail themselves of such a credit limit say for 15 or 30 days without any interest or other charges. They need to repay only the limit they had utilised. No more, no less. With the available credit limit, BNPL users can shop online as well as offline with more than100+ apps, websites, stores, etc. but, this motivates the customers or users not so high as compared to the other features or facilities (Table 5).

Table 6 deals with the spending pattern of BNPL users and it can be interpreted from the table that most of the customers utilised their credit limit for purchasing electronic goods or electronic accessories. Purchase of clothing and fashion items comes next in the list, followed by the purchase of books, movie tickets, and recharges. Only a few prefer buying food items and household items with their credit limit.

9. CONCLUSION

Today, the buy now-pay later mechanism has become a much-practiced and preferred mode of payment. This study investigated the factors influencing consumers to use the buy now- pay later mode of payment as well as their perception towards BNPL schemes and services. It also aims to find the reasons behind the growing popularity of the BNPL schemes and services. The study found that there exists no significant difference between males and females in their perception of BNPL Scheme. It also revealed that different income groups have certain differences with regard to the levels of perception of BNPL schemes. The study also tried to understand the spending patterns of BNPL users and found there is no association between the income of the customers and their spending pattern.

Flipkart's PayLater service is the most preferred BNPL service by the users followed by Paytm Postpaid. According to the users, the LazyPay app is ranked as the third-most preferred service provider. Amazon PayLater comes next. Mobikwik's Zip, Simpl, etc. are less preferred by the users. The hassle-free documentation offered by the BNPL providers is the main factor that influences or motivates the customers to go for it. One-Tap checkout feature, instant refunds, etc. also influence the customers to use BNPL mechanism for shopping.

The study also revealed certain insights into the spending pattern of the BNPL users. Most of the users utilise their credit limit for the purchasing of electronic items or accessories followed by fashion items and clothing. Some users use their approved limit for recharges and for booking movies tickets and for purchasing books. Only a few users order food or household essentials with their BNPL credit limit.

BNPL payment schemes have various advantages like less paperwork and formalities, zero processing fee, zero interest, One-Tap checkout, or one-click order completion. There is no role for both debit cards and credit cards under this mechanism. The credit limit offered by the BNPL apps and service providers can be utilized both offline (scan and pay) and online (UPI mode) transactions. Even though this facility has numerous advantages, it is also not free from limitations. Some of the limitations of BNPL payments include shorter repayment tenure, penalties, and fines for repayment delays, etc. Also, delays in payments can have a negative impact on the credit score of the customer or the user, which can lead to a decreased credit limit or there are chances for getting the credit limit blocked.

There is no doubt regarding the usefulness of the BNPL mechanism for both the users and service providers. An increase in the repayment period can be more beneficial for both the customers as well as the partner outlets or companies. BNPL service providers can increase or enhance the credit limit of their customers since it results in impulsive purchases. Some BNPL services or schemes can be used only on online platforms. For Example: Flipkart PayLater. Removing such restrictions and allowing them to be used both online and offline can attract more users to these platforms. The service providers can also try referral bonuses in the form of increased credit limits to their users. In all sense, the future of digital payment is here!

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